

24-Apr-2024

Gentera SAB de CV (GENTERA.MX)

Q1 2024 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Operator: Good morning and welcome to the First Quarter 2024 GENTERA Conference Call. Now I would like to turn the call over to Mr. Enrique Barrera Flores, Investor Relations Officer of the company. Sir, you may begin.

Enrique Barrera Flores

Investor Relations Officer

Thank you. Good day to everyone. Thank you all for joining us and for your continued interest in GENTERA. I'm Enrique Barrera, the company's Investor Relations Officer. I'm very pleased to introduce our management team. With us today are Mr. Enrique Majós, GENTERA's Chief Executive Officer; Mr. Patricio Diez de Bonilla, Banco Compartamos Chief Executive Officer; and Mr. Mario Langerica, GENTERA's Chief Financial Officer.

Enrique Majós and Mario Langerica will present GENTERA's results for the first quarter 2024, as per the report that was issued yesterday. And Patricio Diez de Bonilla, along with Enrique and Mario, will actively participate in the Q&A session of this conference call.

Please note that during this presentation, GENTERA may make forward-looking statements. These do not account for future economic circumstances, industry conditions, company performance, or financial results. Additional information on forward-looking statements can be found in the disclaimer located in our earnings release. If you did not receive a copy of the release or if you have any questions, please do not need to contact our Investor Relations Department in Mexico City. If you are a member of the media, we ask you to contact us directly.

I would now like to turn the call over to Mr. Enrique Majós for his presentation. Enrique, please go ahead.

Enrique Majós Ramírez

Chief Executive Officer, Gentera SAB de CV

Thank you. Good morning, good afternoon to everyone. It is always exciting to have our call and especially when we have good news to communicate. So let's get started, and let me start by saying that, once again, we are proud to report another that once again we are proud to report another quarter on target. And let me point out that in GENTERA, we have now accumulated 11 quarters of continuous portfolio growth.

In fact, after the pandemic the fourth quarter 2020 was the first quarter that we reported profits again. And since then, quarter by quarter, we have been growing and improving our business results. We have consistently seen customers and portfolio growth with a high quality in our portfolio, as well as outstanding retention rates and customer satisfaction.

So let me summarize the main highlights of today's report. First of all, let me point out that looking at GENTERA's first quarter results, we can see we are successfully targeting our guidance for this year. GENTERA's portfolio grew over 20% in a yearly basis, reaching MXN 65.5 billion. Once again, a historic figure, which, as I already pointed out, is in line with our guidance.

We also reached 5, 270,000 people served at the end of the first quarter. This is not only a record number, but it represents a net growth of 177,000 clients in only three months, and 18% or 813,000 new people served in a yearly basis.

We continue improving our efficiency. Net income after provisions grew 18.3% while our operating expenses grew only 13.3%. So we continue operating with a closed expense control policy and toward more efficiency.

Net income grew 13.7% compared with the first quarter 2023. And our ROE is over 21%, and NPLs and cost of risk remain outstanding. This is very relevant since it is the only way to maintain this positive result sustainable for the long run. NPLs stands at 3.5%, and cost of risk closed at 10.7%, which is below the 11% to 11.5% we guided for the present year.

Now, let me point out some relevant results in our main subsidiary. As we already communicated in our call in February, in January, Banco Compartamos in Mexico reached the 3 million customers. This is a very relevant milestone for us, not only because of the business results and perspective, but also because of the social impact that we continue generating. As a consequence, Banco Compartamos portfolio growth was outstanding with a 29% growth in a yearly basis.

In ConCrédito, since the second half of last year, we maintain a solid, healthy and sustainable growth. Portfolio annual growth was over 20%, and NPL is now in historic low levels, reaching 1.6%, compared with a 2.26% that we had last quarter.

In Peru, compared with the first quarter 2023, we grew 25% in clients and 13% in portfolio if we take local currency. NPLs stood at 4.6%. And we are confident that we will be able to improve the portfolio quality in the following months in Peru.

And I also want to point out the increasing relevance of the microinsurance business in Gentera. As you remember, last year, we reported that the insurance business represented 6% to 7% of Gentera's total income in 2022. This figure continues to increase. And by the end of 2023, this number was already 9%. This is relevant not only for – from a business perspective, but also and especially because of the social impact we generate. Today, we are selling 50 million insurance policies annually, which is clearly an impressive figure. And this year we started allocating 16 million insurance policies in the first quarter of the year.

Now, my last remark regarding our business operations has to do with the use of data and digital technology. These elements continue to contribute and foster our business results. So let me give you one specific example on this. As you remember, last week – last year, sorry, we increased our operating expenses after increasing our loan officers to salesforce due to the opportunity that we identified to address a growing credit demand in Mexico. After one year now and as it was expected, we are capturing the benefits and value of these investments. Productivity levels of our loan officers in Banco Compartamos (sic) [Compartamos Banco] 00:08:10 are in the higher levels ever, even considering that last year, we increased our sales force by more than 1,500 new loan officers. Credito Grupal methodology product, [ph] GDPs 00:08:25 increased 6% since December 2022 and Credit Individual productivity increased by 8%. Productivity levels in Financiera Compartamos (sic) [Compartamos Financiera] 00:08:37 in Peru also improved around 10% in the last year. And in ConCrédito, we also had solid productivity.

We maintained the same level of productivity than one year ago, even when in the last 12 months, we increased the group of [ph] asesoras 00:08:56, our sales force by more than 20%. We expect to continue increasing our productivity level in each of our subsidiaries along of the rest of the year. As you can see, technology and digital transformation will continue to provide our customers a more convenient set of products and services, and at the same time, GENTERA's efficiencies will also improve across the organization.

Now, before finishing my remarks, let me talk about some recent changes in our board member composition and also tell you about the dividend payout for the year. We are very happy to welcome two new board members in GENTERA and our new Statutory Auditor in GENTERA.

new Statutory Auditor in GENTERA. Mercedes Araoz-Fernández and Christian Laub Benavides are both members of our board in Peru, and that's part of this quarter, they will be also participating in GENTERA board. We believe that the experience of both of them will bring a lot of value, considering increasing the relevance of Financiera Compartamos in GENTERA and the potential growth that we still see in the Peruvian market.

On the other hand, Manuel Gutierrez Garcia, our statutory auditor, is leaving our board after more than 20 years of valuable and relevant contribution. Along this year's, Manuel has contributed to both candidates best practices in terms of corporate governance. We are profoundly grateful to Manuel and we wish him the best on his new personal and professional projects.

Therefore, Alfonso [indiscernible] 00:10:56 is joining GENTERA's board, taking the role of Manuel. We welcome Alfonso and we are sure, he will give continuity to Manuel's contribution. And regarding GENTERA's dividend payout in our last shareholders meeting, a 40% dividend payment was approved in two installments. The first one, the first payment will be on May 14 and the second one will be paid on November 29.

Well, let me now pass the call to Mario Langarica. And afterwards, as usual, Patricio, Mario, and I will be here to answer any questions you may have. Thank you.

Unverified Participant

Thank you, Enrique and good day to everyone. As always, we appreciate your interest in GENTERA. As Enrique signaled in his remarks, we're very excited with the solid results that GENTERA achieved in the first quarter of 2024. And now are very excited with the strong dynamics that we're expecting for the rest of the year. Before we enter into the specific financial data, we want to emphasize the success of our decision to increase our sales force and to create our infrastructure, to capture the market opportunity that we saw early in 2023, to grow our

client, our portfolio, and our business. These actions allowed us to reach a record of 5,279,000 people using our financial services, breaking another record in a loan portfolio, maintaining healthy asset quality.

As you can see in our first Q 2024 results, GENTERA generated a historical portfolio of about MXN 65.4 billion, growing 20.6% compared to first Q of 2023. It's important to note that our credit subsidiaries, Banco Compartamos, Compartamos Financiera, and ConCrédito show all double-digit growth in their specific loan portfolio. These dynamics play solid foundations to keep growing as expected for the rest of the year.

Now, let me jump to talk about the evolution of different lines in our income statement. As anticipated in previous calls, the growth in our interest income and our margins has materialized following the growth in client and our portfolio. Interest income grew 24.9% versus first Q 2023, reaching MXN 9.3 billion. Net interest income grew 19.4% to amount MXN 7.5 billion. Consequently NIM amount to 39.4 this quarter, in line with our expectations for the year. And other external results for the start of the year is up even after the strong growth for the start of the year is that even after the strong growth that we have experienced in our loan portfolio, GENTERA's cumulative cost of which amounted to 10.7, which is better than our expected level for the year. NPLs at the end of first Q 2024 stood at 3.57%, which is a very good level, better than first Q 2023 and in line with our objective range between 3.5% from 4% for the year.

We're rolling strongly maintaining sound asset quality. Provisions for loan losses for first Q 2024 amounted to MXN 1.75 billion, 23.1 higher than last year's quarter, mostly explained by our portfolio growth. Compared to 4Q 2023, we observed a 16.5% contraction in this item. This was mainly driven by a lower than expected impact in our portfolio related to Hurricane OTIS.

As anticipated in our last conference call, we're glad to confirm better than expected recovery in the economic situation of our clients that allow us to generate better collections. Also related to OTIS, we decided to write off in advance MXN 36 million, while still maintaining MXN 24 million in additional reserves. Net interest income after provisions grew 18.3% compared to first Q 2023, implying a NIM after provisions of 30.3%. During the year, we expect to maintain NIM after provisions around that level.

Net fees grew 25% compared to first Q 2023 to amount MXN 878 million, mostly related to our insurance [indiscernible] 00:15:36. The incremental use of YASTAS and Banco Compartamos branches also benefited GENTERA depending less on third-party channels and reducing fee expenses in and reducing fee expenses in relative terms. Operational expenses for first Q 2024 amounted to MXN 4.5 billion, representing a 13.3% growth compared to first Q 2023. Most of this growth comes from our larger sales force and upgraded infrastructure. As explained before, other very relevant components of expense lines – line are the strategic initiatives and investments that we have been developing and implementing to make our operation more productive, more efficient and modern.

As mentioned before, the positive effects of these efforts have already started to flow to our revenues and expensive lines generating again [indiscernible] 00:16:29 of positive jobs that will be planned to keep going forward. Net income for first Q 2024 amounted to \$1.508 billion, representing the second largest quarter result in our history. GENTERA's controlling participation of net income amounted to MXN 1.412 billion, representing an EPS of MXN 0.89 for the quarter, a 10.3% increase compared to first Q 2023.

GENTERA's controlling ROE reached 21.4%. And our largest subsidiary, Banco Compartamos, posted a return on equity of 34.1%. With this solid start of the year, we reinforce our view that for 2024, GENTERA's controlling ROE should be around 20.5. All of these maintaining solid and healthy liquidity levels, strong and diverse access to funding sources and robust capitalization levels.

That is all from my remarks. Thank you all for your attention. And now we can look forward to the Q&A session.

QUESTION AND ANSWER SECTION

Operator: [Operator Instructions] Thank you. Our first question comes from the line of [indiscernible] 00:18:03 with UBS. Please proceed with your question.

Q

Hi. Good morning, everybody. Thank you for taking my questions. And I have a very quick question about Peru because the bank as a whole, it presented a good early recovery and a good rebound. Think about the performance from the last quarter. So, the consolidated ROE could have been even higher if wasn't for the performance in Peru. Basically, the ROE there showed some weaker performance, believe it here given high provisions and it basically decreased back to 13% levels.

So, just please, any color here would be great to understand what happened. And also, if you could share your thoughts on the outlook, which should work for Peru. It would be great. You just mentioned a few minutes ago about a positive outlook for Peru, but if you could give us some color what is going on over there, it would be great. Thank you. Thank you, guys.

A

Thank you. How are you? This is Patricio. In regards to Peru, as you have seen the entire context, not only for the microfinance industry, for the entire financial industry, it's facing some operational difficulties. There's – last year, we had certain sections from climate events and social demonstrations that affected the portfolio. And today, even though the economy for Peru is expected to grow. And we are seeing dynamism in customer growth. The reality that there are some pressures on the MPLs for, not only Compartamos Financiera but the entire industry. So there are certain – not concerns but actions that we are taking in order to maintain asset quality under control.

As you have seen NPLs for the Peruvian operation are still picking up even though we have taken actions – bold actions this April that we expect to normalize the asset quality by the third quarter of this year. So with that, we have exceeded provisioning and this is why the ROE for this operation has decreased this quarter. But we are expecting this to pick up for the, for the year end. And they should normalize and meet – their guidance for ROE that Mario just talked about.

So going forward, we feel seeing in Peru a huge opportunity. The penetration of the financial system remains low. As you remember, we are growing very fast in customers in the group blending methodologies. So, the prospectus for the Peruvian operation is – are still to grow, but we will continue monitoring the asset quality to be able to grow with a positive portfolio asset quality.

Q

Okay. That's great. Thank you very much.

Q

Okay. That's great. Thank you very much.

A

Thank you.

Operator: Our next question comes from the line of Ernesto Gabilondo with Bank of America. Please proceed with your question.

Ernesto Gabilondo

Q

Thank you. Hi. Good morning, Carlos, Enrique, Patricio, and Mario. Congratulations in your results and thanks for taking my questions. My first question will be on NIMs. I would like to hear what is the level of interest rates that you're expecting for Mexico this year? And considering your assumption, would it be reasonable to expect stable NIMs this year? And how should we think, for example, in terms of the NII growth considering that the loan book is expanding roughly at 20%, do you think it could be kind of growing at the same pace?

And then my second question is on other income, we notice it was affected by a non-recurring impact related to the insurance business. So can you give us some color on what was behind the impact or the size of the impact and how should we expect for this line going forward? And the last question is on your digital transformation and if you can provide us an update on the timeline of your digital investments, what would be the next steps? And can you anticipate those part of your pilot projects within the core business, but also in terms of Yastas with ConCrédito? Thank you.

A

Ernesto, how are you? Thank you very much for your questions. Yeah, well, the levels of interest rate that we're expecting for the rest of the year are around – for Mexico around 10%.

Aa we are seeing a little slowdown in the velocity of the reduction of rate from the central bank. But that doesn't affect at all our expectations for the end of the year, giving that our interest income is growing faster and our risk is well controlled. So we maintain our expected levels for NIMs of 40% and 30% for the rest of the year.

And regarding other income, and probably you remember last year in the first quarter, we had a non-recurring extra insurance income. And now, what has happened and mainly is just because of the quarterly cut is that we got a negative effect on the – or on that line. We expect that for the rest of the year that will be more than compensated with the commercial cash in, cash outflows that we have with the insurance company. So for that line, you should expect an average level of around MXN 200 million for the year. So that is just quarterly effect. It should be more than compensated for the rest of the year.

A

Hi, Ernesto. How are you. This is Enrique. And let me give you a little bit of color and update around our digital transformation process as you asked. And as we have explained before, we feel very proud about what we are doing not only in Mexico, but also in Peru and in ConCrédito.

I can tell you that in Peru, we have already 100% of our operation running on a digital platform that allows the loan officers to be more efficient. And that's one of the reasons why we can see now we have better efficiencies and productivity there. So, this is happening in Peru since last year.

Also in Mexico, 2024 is the year of testing and deploying a very similar digital platform to operate our end-to-end credit process. First of all, we're going to do it in the Crédito Individual side, but we are at the same time also running everything to deploy this in the Crédito Grupal.

But also, and maybe this is one of the things that you might be looking at in our results since last year, the use of data, data science and digital technology is already giving us benefits in all our subsidiaries. And the benefit that you can see is basically in two things. The first one is, we have better risk assessment capabilities, and that's one of the reasons why you have been looking at improving our NPLs and cost of risk. And the other thing is we have better cross-selling capabilities.

So in some way, a lot of what we are doing in terms of growing our business, increasing our customer base is because and also, of course, the portfolio, is the cross-selling capabilities that the digital technologies are providing us.

So, that's an overview on what we are doing, and we can expect that was, as I was saying in my remarks that along the year, we are going to continue capturing the benefits of these tools that are all along across the organization.

A

And Ernesto, one question that I didn't answer was, if we expect the financial margin and financial margin after provision should keep growing at the same pace as well in the portfolio. The answer is yes.

Q

Oh, perfect. Excellent. Thank you very much. And just a follow up on digital transformation. Just wondering, I know that you are like testing and doing pilot projects with the corresponding banking network from Yastás and ConCrédito. We are seeing something similar from other type of competitors, like Femsa [indiscernible] 00:28:20 and trying something with speed and at some point, will start to land [indiscernible] 00:28:25. So considering that you also have kind of the same structure and relationships even in lower income segments of the population, what will be your strategy ahead of competitors?

A

Thank you, Ernesto. This is Patricio. And the reality is that, when we talk about the digital world and digital economy, you need to first transform the physical cash into digital tools. Right? So first, you need to have the products available. This is something that we already have. And secondly, you need to have the infrastructure to conveniently locate it in order for customers to deposit cash into the different products that we offer. So, just that

play a key role in such journey, in the way that our customers go and deposit cash into our debit cards. They start – they are starting to use such debit cards via their mobile apps and also making transfers and using the payments through these tools. And the reality is that once you have that money converted into digital tools, you can start analyzing data as Enrique said. And trying to understand the dynamics not only at the credit worthiness of the customers, but the transactional information of them in order to develop products and to cross-sell and tapping to opportunities for further relationship with their users. So again, the reality is that [indiscernible] 00:30:20 place here a key role into not only financial inclusion but digital inclusion. And this is a fact that we think that we have a competitive advantage because yes, that's in the present. I mean, the network is in the last mile were convenience store are difficult. It's difficult to be located.

Q

Oh, excellent. Thank you very much [indiscernible] 00:30:50

A

Thank you, Ernesto.

Operator: Our next question comes from the line of Tito Labarta with Goldman Sachs. Please proceed with your question.

Tito Labarta

Q

Hi. Good morning, everyone. Thank you for the call and taking my questions. A couple of questions also. There was a slight increase in your funding costs in Mexico. I just wanted to understand a little bit kind of what drove that and how do you expect that to evolve throughout the year, particularly if rates maybe they hire for longer or when you expect rate to come down? So how do you see the funding costs in Mexico specifically? And then second question, just on the loan growth. I mean, loan growth is pretty healthy, slightly above the guidance you gave for the year of 18% to 20% despite the weakness in Peru. How sustainable is this not just for this year, but maybe beyond this year? Could there be some upside risk to the guidance you gave on the loan growth for this year also? Just want to see how you're thinking about the sustainability of the loan growth. Thank you.

A

Yeah. Thank you, [indiscernible] 00:31:52. Well, regarding the funding cost, the most important increase comes from the growth of the portfolio. But in relative terms, as rates keep going down and with the recent decreases in the rating in Mexico and Peru, in relative terms, the cost of funding which should keep improving going forward. Remember that the cost of fund or the interest expenses represents only 13.6% of interest income. So it should be improving for the rest of the year at the pace that the central banks keep reducing rates. And in terms of portfolio growth, [indiscernible] 00:32:34, we've been very vocal about the size of the market, not only in Mexico but also in Peru.

A financial inclusion remains an opportunity in both countries, and in spite of a large market, we've been dealing with weak competitors due to financial and operational difficulties. So we realize that there's a large market to be served in the sense of a weaker competitive landscape. And this is why last year, we decided to the investments

in infrastructure in both countries not only our footprint, but also the team required to tap into this opportunity. So we are heading towards our portfolio guidance opportunity. So we are heading towards our portfolio guidance this year, and we should expect also a double digit growth again for 2025. So still a large market that we are well – we are serving well, and we expect to do so in the coming years as well.

Q

Okay. No, that's very clear. Maybe just want to follow up on that front. I mean, you talked a little bit about digital initiatives, but are you seeing any competition from fintechs more and more begin to get relevant in Mexico?

A

Of course, the fintech world is very dynamic. There are new entrants with very aggressive methodologies. The reality is that there are certain overlap with customers, but the reality is that when you talk about the lower income segments in both countries, we are not seeing such a dynamic activity in their fintech landscape. So, again, we think that, yes, there is competition, but the reality is that we think that we are very well-positioned, not only financially but with the product offering that we have in order to tap the that I just described.

Q

Okay. Perfect. Thanks, Patricio, and thanks, Mario.

A

Thank you. Thank you, Tito.

Operator: Our next question comes from the line of Yuri Fernandes with JPMorgan. Please proceed with your question.

Yuri Fernandes

Analyst, JPMorgan Securities LLC

Q

Hello. Good morning and congrats for the quarter. I have a question regarding your group [indiscernible] 00:35:05 in Mexico. I recall you start consolidating Comerciante and Mujer maybe in the beginning of 2023, and I guess now you had many groups in the first, second or third cycle. So my question here is how is that strategy behaving? Are you seeing any signs of asset quality for the good or for the bad? Are you being able to improve the efficiency? Because I guess the big plan behind these, like, was to make the loan officers more productive. So, if you can share how you are impressions on this? And if you believe this can drive more efficiency gains, I guess your efficiency ratio could be 6% to 7%. Group lending, super important in Mexico.

So, what should we think about your total efficiency ratio going forward? And then can I ask a second question regarding ConCrédito. Very quickly, just what drove the decrease on NPLs there? I think it's now like 70 bps quarter-over-quarter, so if you can provide a little bit of color on ConCrédito to be sustainable, where you see the NPLs of that unit of organic as it also helps. Thank you.

A

Thank you, Yuir. And this is an excellent question. We started the transformation and evolution of Crédito of group lending methodologies like couple of years in 2021, I guess, and we started trying to have some flexibility features into the product, smaller groups, different tenors, men and women, and the reality is that I look that we have in 10 offices it's still we are still monitoring this pilot. It's progressing every time. We are seeing good asset quality in the pilot, more productivity in our sales reps in the pilot have over 400 customers per loan officer with good quality. So, it helps for the top line, as well as reduce top line, as well as reduce the cost of servicing those.

And the reality is that this transformation had different aims. The first one was to have a better customer satisfaction. Greater flexibility, smaller groups are – it's something that it's easier for the customer to deal with. So this is why, last year, we were able to grow as fast as we did in customers, given the fact that we have a more flexible product. So that's something that it's working well.

The second piece was maintain asset quality under control. So we start – we started to using data in order to analyze each individual within a group in order to create smaller, more healthier groups, and this is something that it's going well since the asset quality of the pilot is progressing. And as I said, it's doing better every quarter.

And finally, to be more efficient, and as I said, the reality is that we have two sales reps, one for Crédito Mujer, one for Credito Comerciante, and now one – we have one single team for group lending, and this is the one that is having higher productivity than the mean for the bank.

So every – having said that, again, we deployed these at the fourth quarter of 2023. We are starting renewing those customers in the first semester of 2024, and so far, so good. We are feeling comfortable with the progression of such transformation, and this is part of the evolution of our group lending methodologies that maintain Compartamos as the best practice for these products. I wouldn't say in Mexico, but elsewhere as well.

A

Hi, Yuri. This is Enrique. Moving to your question on ConCrédito. We are really happy with the results that we are obtaining on ConCrédito's business. And as you remember last year we had some troubles after a growth phase in which we were – we needed then to control the growth that we had in the past.

So yeah, the team really focused on this. Our goal is – and will be always to grow with quality. And that was the strategy that we follow. So I can tell you that, yes, this improvement in our NPLs has to do basically with the – with three things. The first one and I already mentioned it in the last question, the use of better data and business intelligence, the algorithms, the tools, the risk assessment tools that we have developed in our risk areas, not only in ConCrédito, but also joining now the risk team in GENTERA had done a very, very impressive job. So that's why we have a better way to address the risk and to address new customers.

The second reason why we are dropping down the NPLs from 2.2% in the last quarter to 1.6% this quarter, is that the growth that we had in [indiscernible] 00:41:17 of last year is now maturing.

What I mean is that when you catch our new empresaria, they go into a cycle in which they need to go through a learning curve and mature. And now, we are looking this group of empresarias maturing and having better results.

And, of course, the third reason is the experience and discipline of our team to manage the traditional cycle of growing and controlling. So yeah, we are happy about this. But most importantly, we believe this is giving us solid foundations to continue with this trend to the future.

Q

Super clear. Just making sure. So the improvements is mostly driven by ConCrédito [indiscernible] 00:42:09 It is not widespread in the product. I think ConCrédito is much more irrelevant for the total, but just checking that this is where you are seeing like the improvements coming from.

A

Yes, sir.

Q

Okay. Thank you.

Operator: Our next question comes from line of Brian Morton with Barclays. Please proceed with your question.

Brian Morton

Q

Good morning and thank you for taking my questions. I was hoping you could give us a little bit more color on the trends within deposit growth, particularly in the on-demand deposits within Compartamos. And if you continue to grow deposits at this rate, at what point would you expect to see an improvement in the funding cost? Thanks.

A

Thank you for your question. And yes, we've been dealing with the deposits for a long time now. The reality is that we are – the strategy that we are following is that most of our customers now receive their loans in debit cards.

These debit cards are being widely used. And with these transactional information, they are starting to make the deposits into these accounts, which has grown the balance. Again, the reality is that it represents less than 2% of our funding. And so today it's not something that really benefit the cost of funds line. But eventually, as the customers grow, as the proceeds become a relevant in their day to day operation, potentially we can see certain benefit in cost of funds.

But the reality is that we are more focused in cross-sell opportunities and maintain customers for longer periods of time with Compartamos rather than do they have an aggressive deposit in terms of volumes strategy that we are following. So the reality is that you should expect a balance is to grow in line with customers and it will represent again between 8% CDs now and 12% of our deposit base for this year. And this shouldn't be a potential huge benefit for the cost of funds of the bank.

Q

Okay, great. Thank you very much.

A

Thank you, [ph] Brian 00:44:55.

Operator: [Operator Instructions] Our next question comes from the line of Carlos Gomez-Lopez with HSBC. Please proceed with your question.

Carlos Gomez-Lopez

Analyst, HSBC Securities (USA), Inc.

Q

Hello, good morning. Two questions from me. The first one refers to [audio gap] 00:45:17 And right now, the loan portfolio is around 29% of the total. It is also true that the Mexican peso has appreciated versus the Peruvian sol. In terms off [indiscernible] 00:45:29 do you – how large these in Peru can be in your total portfolio? I mean, at some point it was almost 40% of your business. Where do you think it's going to be, let's say, five, six years from now?

The second is about the guidance. I mean, we look at the results for the quarter, which obviously are very strong. And yet you, Peru was still relatively weak, and you have this extraordinary item in insurance segment that you mentioned. So if you take those out, I mean, as mentioned earlier, 00:45:59 gets higher. So it seems to me we annualized this that you are on track to perhaps exceed your guidance right now, MXN 3.5 to MXN 3.6 per share. Should we expect that in future quarters we could have other effects, let's say, expenses or something else? Or is this [indiscernible] 00:46:19 interpretation that you are ahead of the guidance that you have set for yourself? Thank you.

A

Thank you, Carlos. I will jump into the Peruvian question. The reality, yes, Peru has become very relevant. You remember, we bought [ph] Financiera Acrea 00:46:35 in 2011 with 85,000 customers. And now, we have, we serve over a million. And the market there, it's large enough to think in doubling this metric in terms of customers for the coming year.

So, Peru is becoming every time more relevant. As you said today, it is one-fourth of our loan portfolio. But Mexico is still growing fast. As you can see, Mexico outpace the growth of Peru in this quarter, in last year. And the reality you should expect that Peru becomes like 30%, 35% of GENTERA's portfolio in the coming years. But the reality is that the bulk of what we do will remain in Mexico.

A

And Carlos, regarding our guidance, yeah, as we mentioned, what – the growth that we're seeing of the portfolio and the good behavior of the margins and the good behavior of risk obviously showed very, very positive trends. But if you look at this quarter, our expenses grew lower than our guidance for the year. So, we expect that we have positive wins, but also we can be – we should be looking at some negative inflows.

One thing that will be slower is the reduction on interest rates, as I've mentioned before. And the other one would be additional increase in expenses that we expect, multi-related to our strategic initiatives. So, what I can tell you is that at this point we think that we are a closer to the high end of the guidance, but still within the guidance.

Carlos Gomez-Lopez

Analyst, HSBC Securities (USA), Inc.

Very clear. Thank you so much.

Q

A

Thank you, Carlos.

A

Welcome, Carlos.

Operator: With no questions in queue. The question-and-answer session concludes. I will now hand the call over to management of the company for final remarks.

Unverified Participant

Thank you. And thank you all for your interest and your trust in support for GENTERA's team. As you can see, and this is reflected in our results, we have been working with a clear strategy in the past couple of years, and we have a clear strategy for this year. We have a very strong team and we also have a very strong operational discipline and methodology that give us a solid foundation for the opportunities and challenges that we will face ahead. So we feel very happy and comfortable with this, and we are capturing the opportunities that the market is offering. So that's something that we will continue focusing in.

And we are having also, at the same time, the oxygen to continue transforming our business towards the new technologies with two main goals. And we always repeat this, the goals has to be in the first place, to be more convenient for our customers. And on the second place to be more efficient in our operations. So we are excited about what will – we will accomplish in the future. Thank you. Thank you for your answers. Thank you for your trust and support and see you next quarter with more expected good news. Have a nice day.

Operator: Thank you all for participation in today's conference call. You may now disconnect.

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